

Amãna Bank



Amana Bank PLC (PB 3618 PQ)

Interim Financial Statements

31 March 2025

Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.

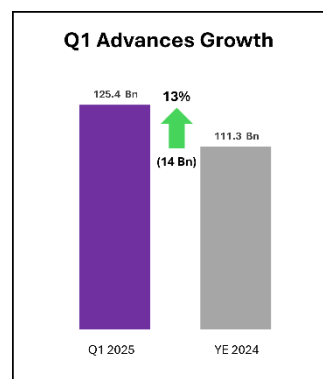
Amāna Bank delivers strong Q1 performance

- *Records highest ever Q1 PBT & PAT of LKR 739 Mn and LKR 434 Mn respectively*
- *Advances up by 13% or LKR 14 billion during Q1*

Amāna Bank continued its performance growth trend in Q1 2025 recording its highest ever Q1 Profit Before Tax and Profit After Tax of LKR 739.4 million and LKR 434.1 million respectively.

Net Financing Income grew by 8% to reach LKR 1.95 billion despite declining market rates maintaining a healthy financing margin of 4.2%, marking an improvement from 2024 YE financing margin of 4%. With a contribution of LKR 304.4 million in Net Fee and Commission Income and LKR 129.7 million in Net Trading Income, the Bank went on to record a Total Operating Income of LKR 2.38 billion.

Driven by enhanced portfolio quality, improved operating environment and proactive customer engagement, the Bank reduced its Impairment Charge by 45% YoY, closing the quarter at LKR 134.2 million, thereby contributing to a 6% growth in Net Operating Income, which reached LKR 2.24 billion for the quarter. Maintaining a cost to income ratio of 52%, the Bank went on to surpass the 1 billion mark in Operating Profit before all taxes. The Bank's aggregate tax contribution of LKR 583.5 million accounted for a significant 57% of the Bank's Operating Profit before all taxes.



The highlight of Q1 2025 was the Bank's exceptional growth in its advances book which was complemented by the growing demand for non-interest based banking. As a result, the Bank's advances grew by 13% or LKR 14 billion during the 3 months to cross the LKR 125 billion mark whilst setting an industry benchmark with advances contributing 66% of Total Assets. This performance was achieved while continuing to have one of the lowest industry-wide Stage 3 Impaired financing ratio of 1.3% owing to the Bank's effective risk management and underwriting framework, driven by its unique people friendly and development focused approach.

The Bank's deposits grew by nearly LKR 5 billion to close the quarter with LKR 159.1 billion while maintaining an industry best CASA ratio of 43%. The Bank's Total Assets grew by LKR 7 billion or 4% to post LKR 189.3 billion by end of Q1 2025.

The Bank's Return on Equity and Return on Assets read as 7.6% and 1.6%, respectively. Further, Amāna Bank's Common Equity Tier 1 ratio stood at 13.6%, whilst Total Capital ratio was at 15.9%, well above the regulatory minimum requirement of 7% and 12.5% respectively.

Cementing the Bank's stability and growth potential, during the quarter, the Bank was assigned an Investment Grade credit rating of BBB+ from Lanka Rating Agency (LRA) in their initial rating assessment. This rating by LRA was in addition to the existing BBB-(Ika) rating by Fitch, which was upgraded in Q4 2024.

Commenting on the Bank's Q1 performance Chairman Asgi Akbarally stated "Our first quarter results reflect the strong foundation and prudent strategies that continue to drive Amana Bank forward. In the face of a challenging market environment, we have delivered solid growth in advances while maintaining our hallmark asset quality. The positive affirmation of our credit ratings further reinforces the growing confidence in our resilient business model ensuring long-term sustainability."

Also sharing his insights on the Bank's performance Managing Director/CEO Mohamed Azmeer quoted "We are pleased to have commenced 2025 on a strong note delivering solid growth in advances and deposits. By strategically growing advances early in the year, we are in a position to optimise margins and drive profitability from the outset, which would result in improved Financing Income and profitability during the rest of the year. This achievement is a result of the commitment of our team, the loyalty of our customers, and the trust placed on us by our shareholders, to all of whom I extend my sincere appreciation. Our momentum in Q1 has laid a solid foundation for further growth in the coming quarters, as we continue to serve the evolving needs of our customers through our unique, people-friendly banking model."

Amāna Bank PLC is a stand-alone institution licensed by the Central Bank of Sri Lanka and listed on the Colombo Stock Exchange with Jeddah-based IsDB Group being the principal shareholder of the Bank. The IsDB Group is a 'AAA' rated multilateral development financial institution with a membership of 57 countries. Testifying its position as a leading practitioner of the non-interest based banking model, Amāna Banks was recognized amongst the Top 25 Strongest Islamic Bank's in the World by The Asian Banker.

Amāna Bank does not have any subsidiaries, associates, or affiliated institutions apart from its engagement with OrphanCare as its Founding Sponsor.

STATEMENT OF PROFIT OR LOSS

FOR THE	THREE MONTHS ENDED 31 MARCH		
	2025 (Rs. '000)	2024 (Rs. '000)	Change %
Financing Income	3,987,898	4,142,046	(4%)
Financing Expenses	(2,040,988)	(2,346,047)	(13%)
Net Financing Income	1,946,910	1,795,999	8%
Net Fee and Commission Income	304,353	285,897	6%
Net Trading Income	129,709	275,098	(53%)
Net Gains / (Losses) from Financial Investments at Fair Value through Profit or Loss	(3,257)	2,284	(243%)
Net Gains / (Losses) from Derecognition of Financial Assets	(50)	(166)	(70%)
Net Other Operating Income	915	83	1,002%
Total Operating Income	2,378,580	2,359,195	1%
Impairment Charges	(134,199)	(243,285)	(45%)
Net Operating Income	2,244,381	2,115,910	6%
Personnel Expenses	625,714	561,892	11%
Depreciation and Amortisation of Property, Plant, Equipment and Right-of-Use Assets	87,711	79,320	11%
Other Operating Expenses	513,331	481,087	7%
Total Operating Expenses	1,226,756	1,122,299	9%
Operating Profit Before VAT on Financial Services and Social Security Contribution Levy	1,017,625	993,611	2%
VAT on Financial Services	(243,537)	(225,929)	8%
Social Security Contribution Levy	(34,673)	(33,212)	4%
Profit Before Tax	739,415	734,470	1%
Tax Expense	(305,288)	(312,245)	(2%)
Profit for the Period	434,127	422,225	3%
Earnings Per Share - - Basic / Diluted (in Rs.)	0.79	0.77	3%

STATEMENT OF COMPREHENSIVE INCOME

FOR THE	THREE MONTHS ENDED 31 MARCH		
	2025 (Rs. '000)	2024 (Rs. '000)	Change %
Profit for the Period	434,127	422,225	3%
Other Comprehensive Income/(Loss)			
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Assets - Fair Value through Other Comprehensive Income:			
Net Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	5,402	(5,402)	(200%)
	5,402	(5,402)	(200%)
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	5,402	(5,402)	(200%)
Other Comprehensive Income / (Loss) for the Period Net of Tax	5,402	(5,402)	(200%)
Total Comprehensive Income for the Period	439,529	416,823	5%

STATEMENT OF FINANCIAL POSITION

AS AT	31 MAR 2025 (Rs. '000)	31 DEC 2024 (AUDITED) (Rs. '000)	Change %
Assets			
Cash and Cash Equivalents	14,643,529	17,070,765	(14%)
Balances with Central Bank of Sri Lanka	6,513,241	7,078,039	(8%)
Placements with Banks	33,800,907	38,311,690	(12%)
Placements with Licensed Finance Companies	507,748	507,640	0%
Derivative Financial Assets	49,342	177,461	(72%)
Financial Assets Designated at Fair Value through Profit or Loss	25,181	70,217	(64%)
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	125,404,048	111,301,849	13%
Financial Assets Measured at Fair Value through Other Comprehensive Income	354,112	348,711	2%
Other Assets - Financial	3,199,754	2,829,580	13%
Property, Plant, Equipment And Right-of-Use Assets	3,087,690	2,968,027	4%
Intangible Assets	480,082	337,563	42%
Other Assets - Non Financial	402,127	510,950	(21%)
Deferred Tax Assets	824,317	824,317	-
Total Assets	189,292,078	182,336,809	4%
Liabilities			
Due to Banks	13,311	18,949	(30%)
Derivative Financial Liabilities	9,928	22,857	(57%)
Financial Liabilities at Amortised Cost - Due to Depositors	159,066,159	154,405,710	3%
Other Liabilities - Financial	5,827,155	4,099,975	42%
Current Tax Liabilities	583,685	473,465	23%
Dividend Payable	98,999	99,471	(0%)
Retirement Benefit Liability	193,091	186,731	3%
Other Liabilities - Non Financial	216,701	187,790	15%
Total Liabilities	166,009,029	159,494,948	4%
Shareholders' Funds			
Stated Capital	17,633,461	17,633,461	-
ESOP Reserve	80,177	78,518	2%
Statutory Reserve Fund	355,174	355,174	-
Revaluation Reserve	1,006,066	1,006,066	-
Fair Value Reserve	107,000	101,598	5%
Retained Earnings	4,101,171	3,667,044	12%
Total Equity	23,283,049	22,841,861	2%
Total Liabilities and Shareholders' Funds	189,292,078	182,336,809	4%
Net Asset Value per Ordinary Share	42.25	41.45	
Commitments and Contingencies	55,358,733	49,602,675	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No. 07 of 2007.

Sgd.

M. Ali Wahid

Chief Financial Officer
15 May 2025

We, the undersigned, being Chairman and Managing Director / Chief Executive Officer of Amana Bank PLC certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank unless indicated as audited.

Sgd.

Ali Asghar Akbarally

Chairman
15 May 2025

Sgd.

Mohamed Azmeer

Managing Director / CEO
15 May 2025

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	ESOP Reserve	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	Retained Earnings	Total
As at 31 December 2023 (Audited)	17,633,461	50,979	266,441	1,007,191	71,888	2,666,624	21,696,584
Profit for the three months ended 31 March 2024	-	-	-	-	-	422,225	422,225
Other Comprehensive Income for the three months ended 31 March 2024	-	-	-	-	(5,402)	-	(5,402)
Share-Based Payment Expense	-	6,885	-	-	-	-	6,885
As at 31 March 2024	17,633,461	57,864	266,441	1,007,191	66,486	3,088,849	22,120,292
Profit for the nine months ended 31 December 2024	-	-	-	-	-	1,352,441	1,352,441
Other Comprehensive Income for the nine months ended 31 December 2024	-	-	-	-	35,112	(25,287)	9,825
Interim Dividend 2024	-	-	-	-	-	(661,351)	(661,351)
Share-Based Payment Expenses	-	20,654	-	-	-	-	20,654
Transfers to Statutory Reserve Fund	-	-	88,733	-	-	(88,733)	-
Transferred to Retained Earnings	-	-	-	(1,125)	-	1,125	-
As at 31 December 2024 (Audited)	17,633,461	78,518	355,174	1,006,066	101,598	3,667,044	22,841,861
Profit for the three months ended 31 March 2025	-	-	-	-	-	434,127	434,127
Other Comprehensive Income for the three months ended 31 March 2025	-	-	-	-	5,402	-	5,402
Share-Based Payment Expenses	-	1,659	-	-	-	-	1,659
As at 31 March 2025	17,633,461	80,177	355,174	1,006,066	107,000	4,101,171	23,283,049

STATEMENT OF CASH FLOWS

FOR THE

	THREE MONTHS ENDED 31 MARCH	
	2025 (Rs. '000)	2024 (Rs. '000)
Cash Flows from Operating Activities		
Financing Income Received	4,155,344	4,193,783
Fees and Commission Received	301,046	285,731
Financing Expenses Paid	(1,970,154)	(2,327,421)
Foreign Exchange Income	132,966	275,098
Gratuity Payments Made	(2,992)	(5,202)
Payments to Employees and Suppliers	(1,406,243)	(1,286,682)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	1,209,967	1,135,307
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(14,235,900)	(7,477,885)
Other Assets	(534,355)	(689,517)
Balance with Central Bank of Sri Lanka	564,798	2,677,441
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	4,607,366	(932,857)
Due to Banks	(5,638)	14,490
Other Liabilities	1,853,530	2,356,165
Net Cash Flow from Operating Activities before Income Tax	(6,540,232)	(2,916,856)
Income Tax Paid	(195,068)	(228,942)
Net Cash From / (Used In) Operating Activities	(6,735,300)	(3,145,798)
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(65,964)	(67,776)
Proceeds from Sale of Property, Plant and Equipment	-	-
Acquisition of Intangible Assets	(10,925)	(1,077)
Investments in Placements with Banks	4,342,999	-
Investments in Placements with Licensed Finance Companies	41,779	1,825,999
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	915	(23,597)
Dividend Received from Financial Assets	-	83
Net Cash From / (Used In) Investing Activities	4,308,804	1,733,632
Cash Flows From / (Used In) Financing Activities		
Rights Issue of Shares	-	-
Share Issue Expenses	-	-
Dividend Paid	(472)	-
Net Cash From / (Used In) Financing Activities	(472)	-
Net Increase / (Decrease) in Cash and Cash Equivalents	(2,426,968)	(1,412,166)
Cash and Cash Equivalents at the Beginning of the Year	17,077,573	11,107,767
Cash and Cash Equivalents at the End of the Period - Gross of Allowance for Impairment	14,650,605	9,695,601

CASH AND CASH EQUIVALENTS

	2025 (Rs. '000)	2024 (Rs. '000)
Cash in Hand	8,819,203	6,094,838
Balances with Banks	5,831,402	3,600,763
	14,650,605	9,695,601
Less: Allowance for Impairment	(6,808)	(6,907)
Total	14,643,797	9,688,694

NOTES TO THE FINANCIAL STATEMENTS

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies stated in the Annual Financial Statements describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

RUPEES IN THOUSANDS				
	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.3.2025
Financial Assets				
Cash and Cash Equivalents	-	14,643,529	-	14,643,529
Balances with Central Bank of Sri Lanka	-	6,513,241	-	6,513,241
Placements with Banks	-	33,800,907	-	33,800,907
Placements with Licensed Finance Companies	-	507,748	-	507,748
Derivative Financial Assets	49,342	-	-	49,342
Financial Assets Designated at Fair Value through Profit or Loss	25,181	-	-	25,181
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	125,404,048	-	125,404,048
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	354,112	354,112
Other Assets - Financial	-	3,199,754	-	3,199,754
Total Financial Assets	74,523	184,069,227	354,112	184,497,862
Financial Liabilities				
Due to Banks	-	13,311	-	13,311
Derivative Financial Liabilities	9,928	-	-	9,928
Financial Liabilities at Amortised Cost - Due to Depositors	-	159,066,159	-	159,066,159
Other Liabilities - Financial	-	5,827,155	-	5,827,155
Total Financial Liabilities	9,928	164,906,625	-	164,916,553

	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2024 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	17,070,765	-	17,070,765
Balances with Central Bank of Sri Lanka	-	7,078,039	-	7,078,039
Placements with Banks	-	38,311,690	-	38,311,690
Placements with Licensed Finance Companies	-	507,640	-	507,640
Derivative Financial Assets	177,461	-	-	177,461
Financial Assets Designated at Fair Value through Profit or Loss	70,217	-	-	70,217
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	111,301,849	-	111,301,849
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	348,711	348,711
Other Assets - Financial	-	2,829,580	-	2,829,580
Total Financial Assets	247,678	177,099,563	348,711	177,695,952
Financial Liabilities				
Due to Banks	-	18,949	-	18,949
Derivative Financial Liabilities	22,857	-	-	22,857
Financial Liabilities at Amortised Cost - Due to Depositors	-	154,405,710	-	154,405,710
Other Liabilities - Financial	-	4,099,975	-	4,099,975
Total Financial Liabilities	22,857	158,524,634	-	158,547,491

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

RUPEES IN THOUSANDS		
ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS	31.3.2025	31.12.2024 (AUDITED)
Gross Financing and Receivables to Other Customers	131,729,665	117,521,906
Accumulated Impairment		
Stage 1	(1,678,084)	(1,560,406)
Stage 2	(2,113,466)	(2,233,037)
Stage 3	(2,534,067)	(2,426,614)
Net Financing and Receivables to Other Customers	125,404,048	111,301,849

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

RUPEES IN THOUSANDS

By Product - Domestic Currency	31.3.2025	31.12.2024 (AUDITED)
Overdraft	13,085,674	13,291,096
Trade Finance	3,792,834	1,992,493
Lease Receivables	9,295,618	9,126,642
Staff Facilities	1,325,520	1,170,618
Term Financing	81,636,852	71,397,952
Gold Facilities	12,012,647	11,683,154
Others	292,918	145,889
Sub Total	121,442,063	108,807,844
By Product - Foreign Currency		
Overdraft	769,964	757,750
Term Financing	8,168,872	5,513,572
Trade Finance	905,489	2,378,280
Others	443,277	64,460
Sub Total	10,287,602	8,714,062
Total	131,729,665	117,521,906

03. IMPAIRMENT ALLOWANCE FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

RUPEES IN THOUSANDS

	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
ECL allowance as at 1 January 2025 under SLFRS 9	1,560,406	2,233,037	2,426,614	6,220,057
Charge/(Write Back) for the year	117,678	(119,571)	107,453	105,560
Amounts written off	-	-	-	-
As at 31 March 2025	1,678,084	2,113,466	2,534,067	6,325,617

RUPEES IN THOUSANDS

	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
				(AUDITED)
ECL allowance as at 1 January 2024 under SLFRS 9	1,131,910	2,675,414	2,121,820	5,929,144
Charge/(Write Back) for the year	428,496	(442,377)	304,794	290,913
Amounts written off	-	-	-	-
As at 31 December 2024	1,560,406	2,233,037	2,426,614	6,220,057

NOTES TO THE FINANCIAL STATEMENTS

04. COMMITMENTS AND CONTINGENCIES

ANALYSIS OF COMMITMENTS AND CONTINGENCIES	RUPEES IN THOUSANDS	
	31.3.2025	31.12.2024 (AUDITED)
Gross Commitments and Contingencies	55,436,124	49,691,818
Allowance for Impairment		
Stage 1	(32,294)	(58,671)
Stage 2	(20,812)	(18,898)
Stage 3	(24,285)	(11,574)
Net Financing and Receivables to Other Customers	55,358,733	49,602,675

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.3.2025	31.12.2024 (AUDITED)
Commitments for Unutilised Facilities	11,391,223	14,218,545
Letters of Credit	7,172,660	4,836,373
Guarantees, Bonds	6,579,300	6,313,056
Outward Clearing Cheques	894,280	794,832
Acceptances	7,031,347	5,814,914
Bills for Collection and Others	3,508,051	3,536,910
Promissory Forward Sales	17,050,860	11,588,490
Promissory Forward Purchases	1,808,403	2,588,698
Total	55,436,124	49,691,818

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

ANALYSIS OF DEPOSITS	RUPEES IN THOUSANDS	
	31.3.2025	31.12.2024 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	11,029,908	10,893,877
Savings Deposits	50,273,781	49,742,595
Time Deposits	69,318,552	66,056,875
Sub Total	130,622,241	126,693,347
By Product - Foreign Currency		
Demand Deposits	1,155,877	1,419,139
Savings Deposits	5,292,950	5,890,455
Time Deposits	21,995,091	20,402,769
Sub Total	28,443,918	27,712,363
Total	159,066,159	154,405,710

NOTES TO THE FINANCIAL STATEMENTS

06. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

• Level 1	Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and / or debt instruments.
• Level 2	Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
• Level 3	Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity and / or debt instruments with significant unobservable components.

	LEVEL 1	LEVEL 2	LEVEL 3	RUPEES IN THOUSANDS TOTAL
As at 31 March 2025				
Financial Assets				
Derivative Financial Assets	-	49,342	-	49,342
Financial Assets Designated at Fair Value through Profit or Loss	25,181	-	-	25,181
Income	351,119	-	2,993	354,112
	376,300	49,342	2,993	428,635
Financial Liabilities				
Derivative Financial Liabilities	-	9,928	-	9,928
	-	9,928	-	9,928

	LEVEL 1	LEVEL 2	LEVEL 3	RUPEES IN THOUSANDS TOTAL (AUDITED)
As at 31 December 2024				
Financial Assets				
Derivative Financial Assets	-	177,461	-	177,461
Financial Assets Designated at Fair Value through Profit or Loss	70,217	-	-	70,217
Income	345,718	-	2,993	348,711
	415,935	177,461	2,993	596,389
Financial Liabilities				
Derivative Financial Liabilities	-	22,857	-	22,857
	-	22,857	-	22,857

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	31.3.2025		31.12.2024	
	CARRYING VALUE	FAIR VALUE	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)
Financial Assets				
Cash and Cash Equivalents	14,643,529	14,643,529	17,070,765	17,070,765
Balance with Central Bank of Sri Lanka	6,513,241	6,513,241	7,078,039	7,078,039
Placements with Banks	33,800,907	33,800,907	38,311,690	38,311,690
Placements with Other Companies	507,748	507,748	507,640	507,640
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	125,404,048	114,431,994	111,301,849	100,640,222
Other Assets - Financial	3,199,754	3,199,754	2,829,580	2,829,580
	184,069,227	173,097,173	177,099,563	166,437,936
Financial Liabilities				
Due to Banks	13,311	13,311	18,949	18,949
Financial Liabilities at Amortised Cost - Due to Depositors	159,066,159	159,066,159	154,405,710	154,405,710
Other Liabilities - Financial	5,827,155	5,827,155	4,099,975	4,099,975
	164,906,625	164,906,625	158,524,634	158,524,634

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

NOTES TO THE FINANCIAL STATEMENTS
07. SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	AS AT 31.3.2025	AS AT 31.12.2024 (AUDITED)
Regulatory Capital (Rs. '000)		
Common Equity Tier 1 (before applicable adjustments)	21,716,638	21,716,638
Common Equity Tier 1 (after applicable adjustments)	20,265,242	20,414,588
Tier 1 Capital	20,265,242	20,414,588
Total Capital	23,771,825	23,882,001
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	13.6%	15.0%
Tier I Capital Ratio (Minimum Requirement 8.5%)	13.6%	15.0%
Total Capital Ratio (Minimum Requirement 12.5%)	15.9%	17.6%
Leverage Ratio % (Minimum Requirement 3%)	10.1%	10.6%
Regulatory Liquidity		
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	284.0%	368.5%
- All Currency (%)	198.3%	252.8%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	125.9%	129.4%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	1.3%	1.3%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	57.9%	59.6%
Profitability		
Financing Margin (%)	4.2%	4.0%
Return on Assets (Before Tax) (%)	1.6%	1.6%
Return on Equity (%)	7.6%	8.0%
Cost to Income (%)	51.6%	53.0%
Memorandum Information		
Credit Rating		
- Fitch Ratings	BBB-(lka)	BBB-(lka)
- Lanka Rating Agency	BBB+	Not Applicable
Number of Employees	915	899
Number of Branches	33	33

NOTES TO THE FINANCIAL STATEMENTS

08. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE PERIOD ENDED 31 MARCH 2025	RUPEES IN THOUSANDS					TOTAL
	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	UNALLOCATED / ELIMINATION	
Income						
Financing Income	1,010,208	2,429,915	3,440,123	547,775	-	3,987,898
Net Fee and Commission Income	101,850	190,708	292,558	13,369	(1,574)	304,353
Net Trading Income	-	-	-	129,709	-	129,709
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(3,257)	-	(3,257)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(50)	-	(50)
Other Operating Income	-	-	-	915	-	915
Total Income	1,112,058	2,620,623	3,732,681	688,461	(1,574)	4,419,568
Less						
Financing Expenses			(2,023,237)	-	(17,751)	(2,040,988)
Impairment Charges			(105,560)	(498)	(28,141)	(134,199)
Operating Expenses			(870,997)	(355,759)	-	(1,226,756)
Operating Profit Before VAT on FS & SSCL			732,887	332,204	(47,466)	1,017,625
VAT on FS & SSCL						(278,210)
Profit Before Tax						739,415
Tax Expense						(305,288)
Profit After Tax						434,127
Total Assets	30,330,812	95,073,236	125,404,048	40,314,711	23,573,319	189,292,078
Total Liabilities	126,189,601	32,876,558	159,066,159	9,928	6,932,942	166,009,029

FOR THE PERIOD ENDED 31 MARCH 2024	RUPEES IN THOUSANDS					TOTAL
	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	UNALLOCATED / ELIMINATION	
Income						
Financing Income	907,217	2,527,236	3,434,453	707,593	-	4,142,046
Net Fee and Commission Income	92,584	167,388	259,972	9,523	16,402	285,897
Net Trading Income	-	-	-	275,098	-	275,098
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	2,284	-	2,284
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(166)	-	(166)
Other Operating Income	-	-	-	83	-	83
Total Income	999,801	2,694,624	3,694,425	994,415	16,402	4,705,242
Less						
Financing Expenses			(2,320,583)	(6,838)	(18,626)	(2,346,047)
Impairment Charges			(223,134)	(1,974)	(18,177)	(243,285)
Operating Expenses			(796,832)	(325,467)	-	(1,122,299)
Operating Profit Before VAT on FS			353,876	660,136	(20,401)	993,611
VAT on FS & SSCL						(259,141)
Profit Before Tax						734,470
Tax Expense						(312,245)
Profit After Tax						422,225
Total Assets	24,449,614	72,463,200	96,912,814	44,499,008	20,173,653	161,585,475
Total Liabilities	99,436,412	32,469,696	131,906,108	424,455	7,134,620	139,465,183

EXPLANATORY NOTES

- 1. These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
- 2. The interim condensed Financial Statements do not include all the information and disclosure required in the Annual Financial Statements, and should be read in conjunction with Annual Financial Statements as at 31 December 2024.
- 3. There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements other than the following:

- Mr. Dilshan Hettiaratchi retired from the Baord on 6 May 2025, having completed his statutory tenure of nine years.
- 4. The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's Annual Financial Statements for the year ended 31 December 2024.
 - 5. Comparative figures have been restated wherever necessary to conform to the current period's presentation.
 - 6. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report of 2024.
 - 7. :

	2025 Rs.	2024 * Rs.
Last Traded Price as at 31 March	23.30	2.30
Highest Market Price during the quarter ended 31 March	26.30	2.30
Lowest Market Price during the quarter ended 31 March	23.00	1.90

* During July 2024, the Bank consolidated its shares in the ratio of every existing Ten (10) shares in to One (1) share. In view of this, the share price details mentioned above for 2024 represents values prior to such consolidation.

EXPLANATORY NOTES
09. TWENTY LARGEST SHAREHOLDERS AS AT 31 MARCH 2025

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP	137,277,245	24.91%
2	Sampath Bank PLC / Senthilverl Holdings (Pvt) Ltd	79,802,630	14.48%
3	Mr. Osman Kassim / Mrs. Khairunniss Kassim / Mr. Abdullah Kassim	29,641,198	5.38%
4	Cargills Bank Limited / Senthilverl Holdings (Pvt) Ltd	29,022,673	5.27%
5	Bank Islam Malaysia Berhad	20,949,916	3.80%
6	AB Bank PLC	20,949,916	3.80%
7	Quick Tea Pvt Ltd	20,476,459	3.72%
8	Islamic Development Bank	18,339,298	3.33%
9	Akbar Brothers Pvt Ltd A/C No 1	18,302,459	3.32%
10	E.W. Balasuriya & Co. (Pvt) Ltd Acc No 01	13,043,478	2.37%
11	Domon Ltd	11,573,996	2.10%
12	Mr. Feroz Omar	9,684,895	1.76%
13	P M Mohamedali & Co	8,753,665	1.59%
14	Mrs. Farhat Farook Kassim	8,662,192	1.57%
15	Mrs. Shahida Hamid	8,238,697	1.49%
16	Mrs. Tarab Iqbal Ismail	8,238,697	1.49%
17	Mr. Mohamed Ashroff Omar	8,238,697	1.49%
18	Millennium Capital Investments Pte Ltd	8,138,133	1.48%
19	Mr. Mohamed Aslam Omar	7,712,950	1.40%
20	Mr. Hanif Yusoof	6,747,826	1.22%
Sub total		473,795,020	85.97%
Other Shareholders (Number of Shareholders 8,543)		77,330,726	14.03%
Total		551,125,746	100.00%

Percentage of Public Holding as at 31 March 2025	35.58%
Number of Shareholders	8,540
Float adjusted market capitalisation	Rs 4.53 Bn

Bank complies with the minimum public holding requirement under option 4 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

10. DIRECTORS' HOLDING IN SHARES AS AT 31 MARCH 2025

Name	No. of Shares
Mr. Ali Asghar Akbarally	Nil
Mr. Mohamed Azmeer	300,000
Mr. Tishan Subasinghe	Nil
Mr. Dilshan Hettiaratchi	Nil
Mr. M Afaur Rahman Chowdhury	Nil
Mr. S M Asim Raza	Nil
Mr. K M P B Abdullah	Nil
Mr. Mohamed Adamaly	Nil
Mr. Mohammad Hassan	Nil
Mr. Delvin Pereira	Nil
Mr. Azreen Zaheer	Nil
Mr. S.Senthi Nandhanan (appointed w.e.f. 7 March 2025)	Nil